

ELIZABETH II



1970 CHAPTER xlv

An Act to confer further powers on the Gloucestershire County Council in relation to the finances of the county; and for other purposes. [23rd July 1970]

WHEREAS—

(1) It is expedient that further and better provision should be made with reference to the finances of the administrative county of Gloucester and that the powers of the county council of that administrative county in relation to the investment of their superannuation fund should be enlarged and extended as by this Act provided:

(2) It is expedient that the other provisions in this Act should be enacted:

(3) The purposes of this Act cannot be effected without the authority of Parliament:

(4) In relation to the promotion of the Bill for this Act the requirements of Part XIII of the Local Government Act 1933 1933 c. 51. have been observed:

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Short title. 1. This Act may be cited as the Gloucestershire County Council Act 1970.

Interpretation. 2.—(1) In this Act the following expressions have the meanings hereby respectively assigned to them:—

1933 c. 51. “the Act of 1933” means the Local Government Act 1933;

1937 c. 68. “the Act of 1937” means the Local Government Superannuation Act 1937;

1961 c. 62. “the Act of 1961” means the Trustee Investments Act 1961;

“the Council” means the county council of the county;

“the county” means the administrative county of Gloucester;

“the county fund” means the county fund of the Council;

“enactment” means any enactment, whether public general or local, and includes any order, byelaw, rule, regulation, scheme or other instrument having effect by virtue of an enactment;

“the fund” means the superannuation fund maintained by the Council under Part I of the Act of 1937;

“land” includes any interest in land;

“signature” includes a facsimile of a signature by whatever process reproduced.

(2) Any reference in this Act to an enactment shall be construed as a reference to that enactment as applied, extended, amended or varied by, or by virtue of, any subsequent enactment including this Act.

Power to raise money by bills.

3.—(1) In addition to the modes of borrowing prescribed by the Act of 1933, the Council may raise money—

(a) for any purpose for which the Council are authorised to borrow;

- (b) in anticipation of the receipt of revenues, for any purpose for which the revenues of the Council may properly be applied;

by means of bills (to be called " Gloucestershire County Council bills ", in this section referred to collectively as " bills " and separately as a " bill ") subject to, and in accordance with, the following provisions:—

- (i) A bill shall be in the form prescribed by regulations made under this section and shall be for the payment of the sum named therein in the manner and at the date therein mentioned, being a date not more than twelve months from the date of the bill:
- (ii) A bill shall entitle the holder thereof to payment at maturity of the sum expressed in the bill to be payable:
- (iii) Bills may be offered for purchase (whether by tender or otherwise) in such manner and on such conditions as the Council may determine:
- (iv) Bills shall be issued under the authority of a resolution passed by the Council, and shall bear the signature of the treasurer to the Council or of some other person authorised by the Council:
- (v) The Council may make regulations providing for—
 - (A) the preparation, form, mode of issue, payment and cancellation of bills;
 - (B) the issue of new bills in lieu of bills defaced, lost or destroyed;
 - (C) the prevention, by the use of counterfoils or of a special description of paper or otherwise, of fraud in relation to bills; and
 - (D) the giving of a proper discharge on the payment of a bill:
- (vi) The amount of money received in respect of a bill shall be deemed to be principal money raised by means of the bill and the difference between the amount payable in respect of a bill and the amount received in respect thereof shall be deemed to be interest on the principal money so raised:
- (vii) The aggregate amount payable on bills current at any one time shall not (except by the amount payable on bills issued shortly before any other bills fall due in order to pay off the last-mentioned bills) exceed—
 - (A) the sum of two million five hundred thousand pounds; or

(B) one-fifth of the amount estimated to be produced by the levying of rates in the county during the then current financial year to meet liabilities falling to be discharged by the Council;

whichever is the greater:

(viii) Subject to the provisions of the last preceding paragraph, the Council may renew a bill at maturity:

(ix) The Council may borrow for the purpose of repaying the principal money raised by bills but except as aforesaid any power of the Council to borrow shall be suspended to the extent of the amount which has been raised by the issue of bills.

(2) (a) The Council may at the request of a local authority to which this subsection applies raise money by means of Gloucestershire County Council bills and shall lend such money to the local authority—

(i) for any purpose for which the local authority are authorised to borrow; or

(ii) in anticipation of the receipt of revenues for any purpose for which the revenues of the local authority may properly be applied:

Provided that the aggregate amount payable on bills issued under this subsection for the purpose of lending to the local authority current at any one time shall not (except by the amount payable on bills issued shortly before any other such bills fall due in order to pay off the last-mentioned bills) exceed one-fifth of the amount of so much of the gross rate income of that local authority for the then current financial year as is retained by the authority to meet liabilities falling to be discharged by the authority.

(b) The aggregate amount payable on bills issued under this subsection current at any one time shall not be taken into account in calculating the aggregate amount referred to in paragraph (vii) of subsection (1) of this section.

(c) Any money lent to a local authority by the Council under this subsection shall be repaid to the Council by the local authority on or before the respective dates on which the bills by which the money was raised fall due for repayment.

(d) This subsection applies to any local authority whose gross rate income in the financial year current at the date of any proposed exercise of the powers of this subsection is not less than three million pounds.

(3) In this section—

“ gross rate income ” means the gross rate income as used in the determination of the product of a rate of one penny in the pound under rules made pursuant to section 113 of the General Rate Act 1967; 1967 c. 9.

“ local authority ” means the council of a borough or an urban or rural district in the county;

“ revenues ” has the same meaning as in section 218 of the Act of 1933.

4. In addition to any other method by which the Council may raise any money which they are authorised to borrow, they may, with the consent of the Treasury and subject to such conditions as the Treasury may impose, raise the money by means of the issue of bearer bonds or other securities to bearer. Power to raise money by bearer bonds.

5. Notwithstanding anything contained in section 7 (2) of, or in paragraph 1 (c) of Schedule 1 to, the Local Government (Financial Provisions) Act 1963— Amendment of power to issue bonds. 1963 c. 46.

(a) bonds issued by the Council under the said Act of 1963 to and held continuously by building societies and persons and bodies of such other classes as the Council may, with the consent of the Treasury, from time to time determine shall not be deemed to have been issued for a period of less than one year by reason only of the fact that the holder of such a bond has the right to claim premature repayment under a stress clause;

(b) a bond issued by the Council as aforesaid shall not be deemed to have been issued for a period of less than one year by reason only of the fact that it is issued on the condition that it may at the discretion of the Council be repaid upon the death of the holder or in any other case for the purpose of relieving hardship to the holder.

6.—(1) Any method by which the Council are empowered by any enactment to raise any money which they are authorised to borrow shall, notwithstanding anything in such enactment, be deemed to include the raising of money by that method outside the United Kingdom or in any foreign currency. Power to raise money abroad.

(2) The powers conferred by the foregoing subsection shall be exercised only with the consent of the Treasury, and subject to such conditions as the Treasury may impose.

(3) The enactments empowering the Council to raise money shall have effect in relation to a transaction authorised by this section for the raising of money in a foreign currency as if for any reference in those enactments to sterling there was substituted a reference to the foreign currency and for any reference therein to a sum expressed in terms of sterling there was substituted a reference to the sum expressed in terms of the foreign currency (adjusted, where necessary, to produce an amount which the Council consider appropriate having regard to all the circumstances of the transaction).

Extension of
power to
invest super-
annuation
fund moneys.

7.—(1) In its application to the investment by the Council under section 21 (3) of the Act of 1937 of any moneys forming part of, but which are not for the time being moneys required to meet payments out of, the fund, the Act of 1961 shall have effect as if—

(a) the following paragraph were included in Part III (Wider-Range Investments) of Schedule 1 to that Act:—

“ 4. In any securities issued in any of the scheduled territories within the meaning of section 1 of the Exchange Control Act 1947, or in Canada or in the United States of America, or in any of the following countries, namely, Austria, Belgium, Denmark, France, Holland, Italy, Japan, Luxembourg, Norway, Portugal, Spain, Sweden, Switzerland and Western Germany ”;

(b) in Part IV (Supplemental) of the said schedule—

(i) in paragraph 1 there were inserted after the word “ schedule ” the words “ other than those mentioned in paragraph 4 of the said Part III ”;

(ii) after paragraph 2 there were inserted the following paragraph:—

“ 2A. The securities mentioned in paragraph 4 of Part III of this schedule do not include shares or debenture stock not fully paid up (except shares or debenture stock which, by the terms of issue, are required to be fully paid up within nine months of the date of issue) ”.

(2) Whether or not any division of the fund has been made before the passing of this Act in pursuance of subsection (1) of section 2 of the Act of 1961 on such day as may be appointed for that purpose by resolution of the Council the fund may be divided or again divided (as the case may be) so that on such day the value of the wider-range part bears to the then value of the narrower-range part the proportion of three to one; and such

proportion is in the Act of 1961, as modified in its application to the fund by subsection (3) of this section, referred to as "the prescribed proportion".

(3) As from the day appointed in pursuance of the provisions of the foregoing subsection in relation to the fund, the Act of 1961 shall have effect in relation to the fund subject to the following modifications:—

- (a) subsection (1) of section 2 of that Act shall have effect with the substitution for the words "equal in value" of the words "in the prescribed proportion";
- (b) paragraph (b) of subsection (3) of the said section 2 and sub-paragraph (b) of paragraph 3 of the Second Schedule to that Act shall have effect with the substitution, for the words from "each" to the end, of the words "the wider-range part of the fund is increased by an amount which bears the prescribed proportion to the amount by which the value of the narrower-range part of the fund is increased.";
- (c) subsection (3) of section 4 of that Act shall have effect as if for the words "so as either" to "each other" there were substituted the words "so as to bear to each other either the prescribed proportion or"; and
- (d) section 13 of that Act shall not apply in relation to the fund.

(4) In this section "narrower-range part" and "wider-range part" in relation to the fund have the same meanings as they have for the purposes of the Act of 1961.

8.—(1) Subject to the provisions of this section, the powers exercisable by the Council under the Act of 1961 to invest any property belonging to the wider-range part of the fund shall include power to invest such property in such manner as they think fit (and whether alone or in association with any other person) in the acquisition, development or management of land situated in the United Kingdom or in any of the Channel Islands or in the Isle of Man, and used or to be used for residential, commercial or industrial purposes, but Part IV of the First Schedule to the Act of 1961 shall not apply to any investment made under this subsection.

Investment of super-annuation funds in acquisition, etc., of land.

(2) So long as the value of the investments of property for the time being made under the powers conferred by the foregoing subsection is equal to or greater than one-sixth of the total value of the wider-range part of the fund, no further investment may be made thereunder.

(3) For the purposes of the last foregoing subsection, the value of any investment of property belonging to the wider-range part of the fund shall be deemed to be the value of the investment at the time at which it was made.

(4) Subsections (2) to (7) of section 6 of the Act of 1961 shall apply in relation to the exercise of the powers of investment conferred by subsection (1) of this section as they apply in relation to the exercise by the Council of the powers conferred by section 1 of that Act to invest any property belonging to the wider-range part of the fund in a manner specified in Part III of the First Schedule to that Act.

(5) In this section “property” and “the wider-range part” in relation to the fund have the same meanings as they have for the purposes of the Act of 1961.

Section 21 (3)
of Act of
1937 not to
limit
foregoing
powers.

9. The provisions of the last two foregoing sections shall have effect notwithstanding anything in subsection (3) of section 21 of the Act of 1937.

Investment in
unit trusts,
etc.

10.—(1) For the purposes of the provisions of section 7 (Extension of power to invest superannuation fund moneys) and section 8 (Investment of superannuation funds in acquisition, etc., of land) of this Act an investment in the units of a unit trust scheme or in participation certificates or in any form of participation under any trust or scheme established in the United Kingdom or in any of the Channel Islands or in the Isle of Man, having the effect of enabling persons to participate in the profits and income arising from the acquisition, holding, management or disposal of such securities or of such land as are specified in those provisions shall be regarded as an investment in the securities in question or in such land.

1968 c. 25.

(2) In this section “participation certificate” has the same meaning as in the Local Authorities’ Mutual Investment Trust Act 1968, and “unit trust scheme” has the meaning assigned thereto by section 26 (1) of the Prevention of Fraud (Investments) Act 1958.

1958 c. 45.

Saving for
powers of
Treasury.

11.—(1) It shall not be lawful to exercise the powers of borrowing conferred by the foregoing provisions of this Act, except in compliance with any order for the time being in force under section 1 of the Borrowing (Control and Guarantees) Act 1946.

1946 c. 58.

1947 c. 14.

(2) Nothing in this Act shall be taken as exempting the Council from the provisions of the Exchange Control Act 1947.

Electronic
or mechanical
equipment.

12. At any time after the Council have provided any electronic or mechanical data processing equipment for the purposes of all or any of their work, they may, by agreement with any local authority or other person, use, or permit that local authority or

person to use, the said equipment for the purposes of that local authority or person and may make such charges as may be agreed for the use of the said equipment.

13.—(1) The costs, charges and expenses preliminary to, and Costs of Act.
of and incidental to, the preparing, applying for, obtaining and
passing of this Act or otherwise in relation thereto, shall be paid
by the Council out of the county fund or out of moneys to be
borrowed under this Act.

(2) The Council may borrow, without the consent of any
sanctioning authority, such sums as may be necessary for paying
the costs, charges and expenses of this Act and, subject to the
provisions of this section, Part IX of the Act of 1933 shall have
effect as if money borrowed under this section were borrowed
under that Part.

(3) The Council shall repay the sums borrowed under the fore-
going subsection within five years from the date of borrowing.

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Gloucestershire County Council Act 1970

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